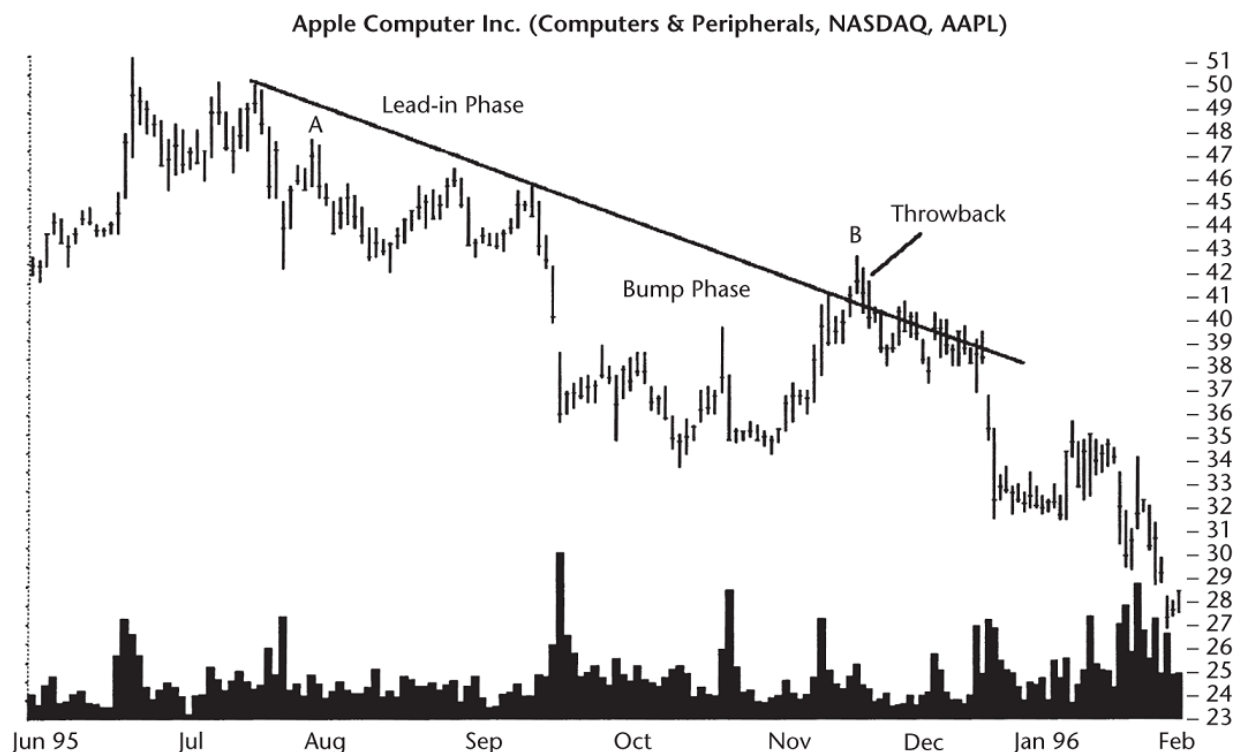


bear markets. Oddly, patterns with dual bumps perform better. I'll mention that in Statistics coming later.

**Uphill run, volume.** Volume picks up as price breaks out of the BARR and price moves higher. Rising price characterizes the uphill run phase.

**Breakout direction, confirmation.** BARR bottoms always break out upward. If your pattern sees price close below the bottom of the pattern before closing above the down-sloping trendline, then it's not a valid pattern.



**Figure 14.3** The bump height is less than twice the lead-in height, a clue that this pattern is not worth investing in. A trendline drawn from point A to B (not shown) satisfies the bump to lead-in height guideline. An investor waiting for price to move above the new trendline would not buy this stock.

## Focus on Failures

**Figure 14.3** shows what a BARR bottom failure looks like. Price reaches a new high for the year (the highest peak on the left). Then it is downhill from there. The decline is quite orderly with peaks that follow the trendline down. During early September, however, price drops rapidly on high